FORMER ASCO HQ AL/MC PAD

Florham Park, Morris County, NJ · 114 units (78 AL · 36 MC) · 4 acres · 45 min to Midtown

Recommendation: Absorption thin. With Arbor Terrace's 80 units counted, the project needs about 30% of unmet demand in a 7-mile market. Get a NIC MAP pull and a pre-leasing plan before LOI. Florham Park is the one Morris County pad to advance.

CAPITAL REQUIRED	EQUITY · LOAN	YIELD ON COST · FULLY TAXED
$58.3M	**$23.3M · $35.0M**	**7.75%**

LEVERED IRR · MULTIPLE	PROFIT AT STABILIZATION	AT RISK BEFORE APPROVAL
17.2% · 1.88x	**$20.5M**	**$2.62M**

THESIS

- **Approvability.** Town relies on this site for affordable compliance; Arbor Terrace 100-bed AL approved 2024. Opposition risk is low-medium.
- **Deal route.** JV with Garden Homes to add AL/MC. Garden Homes owns 55 ac for 305 age-restricted; pad carve-out.
- **Need and rents.** Need 58, rent support 89 and approval 62 on a 100-point scale. About 11,894 age- and income-qualified households 75+ in the 7-mile market.
- **Returns.** 7.75% yield on cost against a 6.5% floor. Value at a 6.50% exit cap is $80.4M on trended NOI of $5.23M. Max land at the floor is $16.9M against a $5.7M basis.

SOURCES AND USES

Land	$5.70M
Hard cost	$32.27M
Site work	$1.08M
Contingency	$1.67M
FF&E	$2.51M
Soft cost	$6.67M
Construction interest	$2.76M
Lease-up reserve	$5.65M
Total uses	**$58.31M**
Equity, 40% (LP 90% / GP 10%)	$23.32M
Construction loan, 60% LTC	$34.98M

SCHEDULE

Predevelopment and approvals	9 mo
Construction	20 mo
Lease-up to stabilization	30 mo
Site control to sale	**59 mo**

TEAM

Operator, first call	Engel Burman
Operator, second	Benchmark / National Development
General contractor	IMC Construction (alternate O.A. Peterson Construction)

DOWNSIDE CASES

CASE	YOC	UNLEV. IRR	LEV. IRR	MULTIPLE	PROFIT
Base case	7.75%	9.8%	17.2%	1.88x	$20.5M
Rents −10%	6.90%	5.9%	10.9%	1.51x	$11.7M
Hard costs +10%	7.22%	7.4%	13.4%	1.65x	$16.2M
Exit cap +50 bps	7.75%	7.3%	13.3%	1.64x	$14.9M
Lease-up +6 months	7.60%	8.4%	15.0%	1.86x	$20.5M
Combined downside	**6.32%**	**1.0%**	**2.1%**	**1.10x**	**$2.4M**

All four shocks at once (rents −10%, hard costs +10%, exit cap +50 bps, lease-up +6 months) take yield on cost to 6.32% and the levered IRR to 2.1%, still $2.4M of profit at stabilization.

KEY RISKS AND HOW WE CLOSE THEM

Entitlement	Amend existing approval; approval odds 57% (Even). 305 age-restricted tied to 4th-round plan; AL needs amendment + CN.
Lease-up	30 months to stabilization at industry-norm net move-ins (2–4 a month for AL/MC, 3–6 for IL; NIC MAP). The downside case adds 6 months.
Rents	Rents run at 0.98x the base rate card, a calibrated estimate. A NIC MAP pull and a rate shop of the competitive set come before LOI.
Absorption	Survives, thin. Florham Park has the deeper and wealthier 75+ base. With Arbor Terrace in the supply set the project still needs about 30% of unmet demand at a 10% need rate (16% at 12%): above the lender comfort band of 10–15%, so it needs a NIC MAP pull and a pre-leasing plan before LOI.
Taxes	Underwritten fully taxed at $8,500 a unit; an assessor letter confirms it before LOI.

NEXT STEPS

1. Pitch Garden Homes.
2. Gate 1 · Feasibility by month 3, $0.16M at risk. Counsel confirms the amend existing approval path; the massing fits bulk and parking; Phase I and wetlands flagging are clean.
3. Gate 2 · Political read by month 6, $0.26M at risk. Staff sees a path; mayor and a board majority are neutral or supportive; no organized opposition after abutter meetings.
4. Gate 3 · Zoning in place by month 11, $0.52M at risk. The zoning action is adopted or the wetlands permit issues with workable conditions.

Model outputs for screening, not an appraisal, offer or investment advice. Estimates are replaced with NIC MAP and assessor data before LOI. Full dossier: senior-living-pipeline-1cia.vercel.app/sites/NJ-04. Excel model: senior-living-pipeline-1cia.vercel.app/models/ATCO-NJ-04-proforma.xlsx